

GL Only Wrap Ups: Feasibility, Due Diligence & Coverage

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Rise of the GL Wrap-Up

Residential Projects

- Coverage Issues
 - Statutes of repose
 - Continuity of coverage
 - Waiver of subrogation
 - Additional insured
 - Primary & non-contributory

Problem States

- Florida
- Louisiana
- South Carolina
- Texas
- California
- Nevada
- Arizona
- Colorado
- Emerging problem states



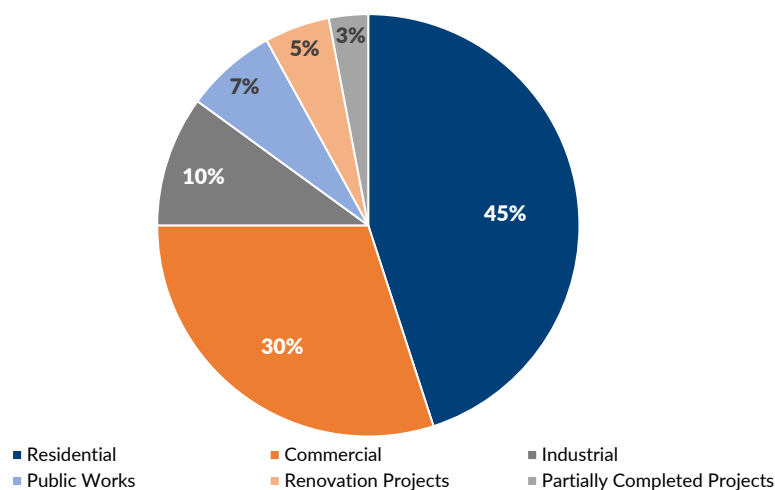
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Rise of the GL Wrap Up



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Projects Types



Project Types	Percentage
Residential	45%
Commercial	30%
Industrial	10%
Public Works	7%
Renovation Projects	5%
Partially Completed Projects	3%



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GL Wrap-Up for Today



Project
Specific



Volume
Discount



Subscription
(Annual Renewal)

Commercial	>\$50M	> 5 Projects	> 5 Projects
Residential	>\$5M	> 5 Projects	>\$50M
Industrial	>\$50M	> 5 Projects	>\$50M
Civil	>\$100M	> 5 Projects	>\$50M

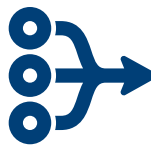


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Buying Motives

Motivators

- Rates/Cost
- Collateral
- Retention
- Subcontractor Coverage
- Completed Operations



Qualifiers

- Coverage, Limits, Indemnification
- Carrier Financial Standing
- Project Size
- Contractor Credits
- Brokerage Servicing



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Is Your Broker Helping You?

Questions to Ask:

1. What's their experience with wrap-ups?
2. What coverage issues are a concern?
3. What questions/info will the general contractor ask/look for?
4. What contractual changes will you need to make to your construction contract?



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Is Your Broker Helping You?

Questions to Ask:

5. What can go wrong with administration?
6. Can they give you a deep dive into claims management? How will a crisis be handled?



If your broker is only talking about insurance savings, then you might have the wrong broker.



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Benefits

Wraps – Single and 2-Line

- Coverage assurance
- Consolidated claims administration
- Reduced inter-contractor litigation
- Joint defense
- Deductible application
- Completed operations coverage
- Ability to employ small contractors

GL Only Wrap Benefits

- Less administrative costs
- Collateral not needed
- Low SIRs (25K, 50K)
- Lower claims frequency
- Coverage flexibility
- Greater use of manuscript forms and endorsements—no approval



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Drawbacks



- Too small a project
- All participants are not in agreement with the wrap-up being the solution
- Coverage issues may be limited – course of construction exclusion
- Unsure of the viability of the project in current market conditions
- GC has favorable insurance rates and forms



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Drawbacks



- E&S carriers
- Sponsor is buying insurance for everyone!
- Limits purchased or considered are too small.
- Subcontractor credits/bidding not coordinated
- Broker claims management limited
- Lack of partnership with insurance carrier
- Coverage **EXTENSIONS!**



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E&S Market Growth

Last 16 Years – In millions

2022 – \$875,456	2014 – \$570,187
2021 – \$798,393	2013 – \$545,760
2020 – \$728,866	2012 – \$523,360
2019 – \$712,194	2011 – \$501,555
2018 – \$678,029	2010 – \$481,120
2017 – \$642,127	2009 – \$481,410
2016 – \$612,906	2008 – \$492,881
2015 – \$591,186	2007 – \$506,180

Top 10 E&S Carriers

1. Berkshire	6. Nationwide
2. AIG	7. Chubb
3. Markel	8. Liberty Mutual
4. Fairfax Financial	9. XL America
5. W.R. Berkley	10. Sompo Holdings



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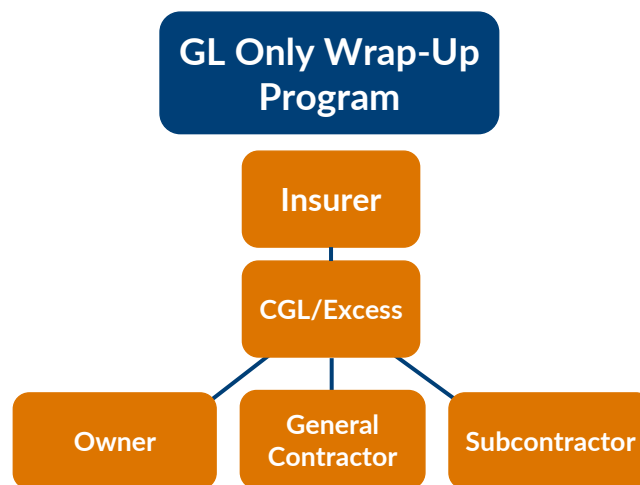
What is the E&S Marketplace?

- Established decades ago to place unique or hard-to-place risk.
- Allows insurance companies to create new products without state licensing approval for terms/rates.
- Quick reaction to market conditions
- While more freedom with policy forms, often they provide less coverage where coverage available, OR coverage where no coverage is available.
- Creative Policy Form – can broaden or restrict coverage.
- Many E&S carriers are subsidiaries of admitted market



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Traditional v. GL Only



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Course of Construction Exclusion & LEG 3

PROPERTY DAMAGE TO THE PROJECT DURING THE COURSE OF CONSTRUCTION EXCLUSION

"The insurance does not apply to any "property damage" to any project or any part of that project that occurs during the course of construction. The project or any part of the project will be deemed to be within the course of construction until "your work" is deemed completed in accordance with the definition of "products-completed operations hazard" in the policy."



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Course of Construction Exclusion & LEG 3

• LEG 3:

- Written by the London Engineering Group – but different insurers have varying manuscript iterations of this endorsement.
- LEG 3 limits defective work exclusions to only exclude from coverage "that cost incurred to improve the original workmanship, design, plan, or specification." Thus, everything is covered, including the defective work itself, less costs attributable to improving the design or specification of the defective work.
- Hasn't been fully tested/adjudicated in the U.S.
- Often contains a \$100-250k deductible.



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No J, K, or L Exclusions:

The “business risk exclusions” are a standard part of the ISO CGL form and were drafted to apply to the named insured. In a wrap-up, the named insureds include the owner, contractor, and all enrolled subcontractors. The CGL’s exclusions precluding coverage for damage arising out of the insured’s property, defective products, and defective work should, ideally, be removed. Where removal is not possible, various modifications are possible to ensure that the coverage applies as expected in construction and development operations.



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Terms and Conditions: PCOH & Repair Work

- Products-completed operations hazard (PCOH) endorsements **grant** coverage under a wrap-up.
 - Cover claims attributable to repair/warranty work following substantial completion.
- Repair work endorsements **narrow** coverage under a wrap-up.
 - Removes coverage for claims attributable to repair/warranty work following substantial completion.



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GL Only Best Practices

Pre-Construction

- Realistic feasibility
- Subcontractor credits
- General contractor insurance pricing
- Builders risk evaluation
- Contract review – all contracts
- Experienced GL only broker

Procurement

- Detailed marketing submission
- Include BR, and consider professional and environmental covers
- Communicate with your general contractor
- Draft OCIP manual – bidding process
- Negotiate proper schedule

Construction

- Check in quarterly on construction schedule
- Confirm subcontractor site activity with job site visit(s)
- Establish relationship with site project manager(s)
- Confirm crisis management protocols



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